

Memo: Returns, and what to do about them

To: Ritu Deshpande From: Prem Dave Date: 9 October 2026

The decision

Do not hold flagged orders. Call the riskiest orders before dispatch, and ship the rest.

The number

- We cannot honestly reach 95% accuracy. Only about 1 in 9 orders is returned, so a guess of "nobody returns" is already right 88.5% of the time. Our model is about 89% accurate and ranks risky orders well (ROC-AUC 0.78), but it cannot be sure which orders will come back, because the real reasons are not known at dispatch.
- At a sensitive setting the model catches about 4 in 10 real returns and wrongly flags about 1 in 10 good orders. It is a useful guide, not a crystal ball.
- Please do not repeat 95% to the board. The honest number is the one above.

The rupees

We replayed the 2,101 newest orders using what really happened to each one:

Plan	Effect over 3 months
Hold flagged orders (your plan)	Rs 75,000 worse than shipping everything
Call orders at about 11%+ risk (about 3 in 10 orders)	Rs 36,000 better (about Rs 12,000 per 700 orders)

- A return costs Rs 1,150 (Finance's figure, not Rs 600). A confirmation call costs Rs 45.
- Holding loses money: about 12% of held customers cancel, and holding does not stop returns.
- Calls stay profitable as long as they prevent at least 16% of returns. Kestrel's spring pilot says 35%.

What to do next week

1. Run a **two-week call trial** on orders scoring 11% or more. Keep a small group uncalled so you can measure how many returns calls really prevent.
2. **Do not hold Shield customers.** They return more often, but they are your best customers.
3. Ask Finance to confirm the profit lost on a cancelled sale (we assumed 20%).
4. Ask IT to record, at dispatch, the reason for each return and any delivery problem. Better data is the main way to improve the model.

What to be careful about

The call effect (35%) and the 12% cancellation rate are Kestrel's own figures. We could not check them. The trial in step 1 will.